

SKEMA SYLLABUS

CORPORATE VALUATION METHODS - Common Resources

CORPORATE VALUATION METHODS (103964202260SM1)

FALL
2026/2027

Course leader
SOMMER Torben
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Course identification

Intake	FALL
Academic year	2026/2027
Discipline	Finance
Teaching language(s)	English
Course type	Mandatory

Course description

Analysing financial statements and valuing firms is an integrated process in which the student must understand industry competitive dynamics, firm strategy, accounting information content and quality, profitability and risk assessment, forecasting, and valuation models. This course strives to integrate these six components of the process. Interpreting profitability and risk ratios requires an understanding of the economic characteristics of the industries in which a firm competes and the business strategies a firm has selected to compete in those industries. The student should not naively accept reported financial statement information when performing profitability and risk analysis but should first assess its quality and make appropriate adjustments. Forecasts of future earnings, cash flows, and dividends provide the bases for valuing a firm. The students will analyse a listed company applying the theories of the course terminating with individual report of approximately 10 pages and a fully integrated excel model.

Prerequisites

Advanced understanding of Corporate Finance acquired through intensive reading of Vernimmen (Pascal Quiry) or any advanced corporate finance book. A paper version is often the best format for learning. Daily reading of Financial Times or Wall Street Journal is a non-negotiable daily routine of any financial professional hence including you as a new member of tomorrows financial expert.

Course plan

You will have to choose a stock market listed company (or I will do it for you) that fulfils the following criteria: 1. Listed on Nasdaq, NYSE, European Exchange, HK etc avoid Emerging Markets or Frontier Markets 2. Market Capitalisation of > \$1 billion 3. Minimum Five years accounting data available on Investor Relation webpages 4. Free Cash Flow yield of > 3% (FCF/EV) 5. A financial model (in excel format will be provided to you were you have to complete the following information: Data sheet with 5 to 10 years financial history, Ratio sheet, forecast development sheet and forecast sheet and valuation sheet.

Teaching team

Lille : SOMMER Torben
Paris : SOMMER Torben
Sophia : BALLET Alexis
Belo : ESTEVES Rodrigo
Suzhou : SCHMIDT Christian

Assessment

Final examination	50 %
Continuous assessment	50 %

Resources

Academic references

James M. WAHLEN, Stephen BAGINSKI, Mark BRADSHAW, Financial Reporting, Financial Statement Analysis and Valuation, A Strategic Perspective, 8th Edition, 2015, Cengage,

Websites

www.ft.com www.wsj.com www.vernimmen.net Damodaran Stern University